

based on unequal treatment of investors. These strategies not only fail to advance any corporate purpose other than management tenure, but they also undermine a basic democratic tradition. America's publicly owned corporations should not selectively abrogate the one-person, one-vote principle inherent in any representative form of governance.

As I observe an increasing number of corporate executives embrace the short-term theory, I am reminded of remarks made by Gulf's chairman James E. Lee. In early 1984 I met with Lee to discuss Gulf's future. Another major oil company, which Chevron subsequently outbid, had offered to pay \$70 per share to acquire Gulf.

As Gulf's operating decline became apparent, the price of its stock receded from an oil boom high of \$54 in 1980 to about \$37 in the fall of 1983. The stock was trading at roughly a third of the intrinsic value of Gulf's assets, estimated by analysts at about \$114 per share.

Still, Lee wanted to talk long term.

"Boone, you're our largest shareholder. Would you be willing to give me two or three years more?" he asked.

"Why would you want two or three more years?" I replied.

"Because I think we can get the stock up to \$60 or \$65 by then."

"Jimmy, why would we want to wait two or three years to get the price up to \$60 or \$65 when you have an offer on the table for \$70?"

"Boone, I was afraid you would say that."

As an unrepentant short-termmer, I offer a final suggestion to the 47 million other shareholders who have placed their funds at risk in America's public corporations: beware the manager who proclaims to the world he is a long-termmer, beginning today.